continuing till independence. During this period, finance imperialism began to entrench itself through the managing agency firms, export – import firms, exchange banks and some export of capital.

- Britain decided to make massive investments in various fields (rail, road, postal system irrigation, European banking system, and a limited field of education etc) in India by plundering Indian capital.
- Railway construction policy of the British led to unimaginable as well as uneconomic. The poor Indian taxpayers had been compelled to finance for the construction of railways. The political power was handed over to the British Government by the East India Company in 1858.



8.2.4 Decline of Indian Handicrafts

- The Indian handicrafts products had a worldwide market. Indian exports consisted chiefly of hand weaved cotton and silk fabrics, calicoes, artistic wares, wood carving etc.
- Through discriminatory tariff policy, the British Government purposefully destroyed the handicrafts.
- With the disappearance of nawabs and kings, There was no one to protect Indian handicrafts.
- Indian handicraft products could not compete with machine-made products.
- The introduction of railways in India increased the domestic market for the British goods.

8.3 The Land Tenure Systems in India

Land Tenure refers to the system of land ownership and management.The features that distinguish a land tenure system from the others relate to the following:

(a) Who owns the land ;

(b) Who cultivates the land;

(c) Who is responsible for paying the land revenue to the government.

Based on these questions, three different types of land tenure existed in India before Independence. They were Zamindari system, Mahalwari system and Ryotwari system.

8.3.1 Zamindari System or the Land lord-Tenant System

This system was created by the British East India Company, when in 1793, Lord Cornwallis introduced 'Permanent Settlement Act'. Under this system the landlords or the Zamindars were declared as the owners of

Chapter-08.indd 168 20-02-2020 12:03:59